

Torrent Pharmaceuticals Ltd

Investment Rating : Excellent

Company Overview

Website	https://www.torrentpharma.com/
Sector	nan
Market Cap	1,870,170.39 Cr
PE Ratio	46.4
PB Ratio	6.43
Dividend Yield	1.22 %

Financial Quality

ROE	24.2
ROCE	23.2
CFO Quality	High Quality
FCF CAGR	nan%
Capital Pattern	Excellent

Capital Allocation

Capital Score	100.0
Reinvestment	Low Reinvestment
Debt Trend	Deleveraging
Leverage	Moderate

Business Overview

Torrent Pharmaceuticals Ltd is one of the leading Indian Pharmaceutical Company engaged in research, development, manufacturing and marketing of generic pharmaceutical formulations.

It is the flagship company of Torrent Group which also has presence in power and city gas distribution businesses.

Strengths

Consistently high return on equity above 20% demonstrates exceptional capital efficiency.
Strong free cash flow generation over 5 years signals healthy business fundamentals.
Operating profit margin above 25% indicates strong pricing power and cost discipline.
Net profit compounding above 20% over 5 years creates significant shareholder value.
Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.

Risks

No significant financial weakness identified, however future performance should continue to be monitored.